

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 14-06

**SANTA FE DISCOUNT CRUISE PARKING, INC. d/b/a EZ
CRUISE PARKING; LIGHTHOUSE PARKING, INC.; and
SYLVIA ROBLEDO d/b/a 81st DOLPHIN PARKING**

Complainants

v.

**THE BOARD OF TRUSTEES OF THE GALVESTON
WHARVES and THE GALVESTON PORT FACILITIES
CORPORATION**

Respondents

**COMPLAINANT 81ST DOLPHIN'S RESPONSE IN OBJECTION TO
RESPONDENT'S OPPOSED MOTION FOR LEAVE TO INCLUDE
SUPPLEMENTAL RECORDS REGARDING DECAL FEES**

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November 1, 2022

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INTRODUCTION

In defiance of orders of the Federal Maritime Commission (“FMC” or “Commission”) and of the Administrative Law Judge (“ALJ”), Respondent, The Board of Trustees of the Galveston Wharves (“Respondent”) has, in its Respondent’s Reply Brief on Remand, included as Appendix 078, 079, 080, and 081 thereto, documents not already part of the record in this proceeding in support of its arguments. Contemporaneous with the filing of its Respondent’s Reply Brief on Remand, Respondent filed Respondents’ Opposed Motion for Leave to Include Supplemental Records Regarding Decal Fees (“Respondent’s Opposed Motion” or “Resp. Opp. Mot.”).

In accordance with 46 CFR § 502.69(f), Complainant Sylvia Robledo d/b/a 81st Dolphin Parking (“81st Dolphin” or “Complainant”), hereby submits this response in opposition to Respondent’s Opposed Motion.

ARGUMENT AND AUTHORITIES

Respondent’s Opposed Motion should be denied because (1) the orders of the Commission and ALJ expressly limited the briefing and evidence to that which was already in the record; (2) Respondent agreed and expressly stipulated that the supplemental proposed findings of fact should be limited to the then-existing record; (3) Complainant already filed its brief in conformity to the limitations ordered by the Commission and ALJ and agreed upon by the parties; and (4) no good cause was shown or exists for the preferential treatment Respondent is seeking.

I. Respondent blatantly dismissed the FMC’s and ALJ’s orders expressly limiting briefing to evidence already in the record.

On June 2, 2022, the Commission issued its Order Granting in Part and Denying in Part Petition for Reconsideration (“Commission Remand Reconsideration Order” or “CRRO”). In that Order, the Commission identified that “while [Respondent] is not entitled to additional discovery,

the parties should have an opportunity to brief reparations questions before the ALJ and argue their respective positions ***based on the record.***” (CRRO at 16 (emphasis added)).

On August 8, 2022, the ALJ issued an Order Requiring Joint Status Report. In compliance with that order, the parties filed their Joint Status Report on August 23, 2022. In the joint status report, Respondent represented and informed the ALJ as follows:

“Respondent believes the parties should file Proposed Supplemental Findings of Fact and Conclusions of Law ***based on the existing record*** with regard to the two remaining issues.”

(Joint Status Rpt., Aug. 23, 2022, at 2 (emphasis added)). Thereafter, on August 30, 2022, the ALJ issued its Remand Reconsideration Scheduling Order (“RRSO”). In that order, the ALJ identified that “[p]roposed findings of fact and conclusions of law limited solely to the two issues which are now in contention, accompanied by ***citations to evidence already in the record*** supporting them, would facilitate an efficient adjudication.” (RRSO at 2 (emphasis added)). The ALJ continued instructing the parties as to the limitations of their briefing and proposed findings of fact and conclusions of law, and clearly restated that the “***evidence should already be in the record*** and the parties should maintain the bates numbers used when ***previously submitted.***” (*Id.* (emphasis added)). Further delineating the bounds of the parties’ submissions, the ALJ identified that the table of contents of the parties’ appendices “must indicate the name and date of the filing in which the evidence was ***previously submitted.***” (*Id.* at 4 (emphasis added)).

In spite of the clarity expressed and ordered by both the Commission and the ALJ, Respondent filed Respondent’s Opposed Motion, and has, in effort to support its arguments, knowingly included in its Respondents’ Reply Brief on Remand, documents that are not part of the existing record. Complainant objects to Respondent’s Opposed Motion and to the submission and/or inclusion of any documents, evidence, or items not already part of the existing record of

this case at the time the ALJ issued its August 30, 2022 Remand Reconsideration Scheduling Order. Complainant requests that Respondent's Opposed Motion be denied, and that any such documents and evidence as submitted by Respondent be stricken from the record.

II. 46 CFR § 502.216 does not support Respondent's motion because an initial decision has already been issued in this case.

Respondent attempts to convince the ALJ that no initial decision has been issued in this case. In support of submitting evidence outside of the existing record in defiance of the Commission's and ALJ's orders, Respondent has chosen to stand on 46 CFR § 502.216. In order to do so, Respondent must convince the ALJ that no initial decision has yet been issued. 46 CFR § 502.216. However, given the ALJ's December 4, 2015 Initial Decision, and the ALJ's November 16, 2018 Initial Decision on Remand, Respondent has set for itself a bar at the heights of creative pleading.

In effort to accomplish its aim, Respondent argues that, while an initial decision has been issued, no initial decision on the question of reparations has been made. (Resp. Opp. Mot. at para. 11). 46 CFR § 502.216 provides that "[a] motion to supplement the record, pursuant to § 502.69, should be filed if submission of evidence is desired after the parties' presentation in a proceeding, but before issuance by the presiding officer of an initial decision." 46 CFR § 502.216. There is no mention in Section 502.216 of issue-specific initial decisions, and Respondent cites to no authority interpreting that Section in the manner Respondent is asking the ALJ to do. *See id.* Moreover, both the Initial Decision and the Initial Decision on Remand addressed reparations in this case, as reparations for damages were the purpose of this proceeding being initiated.

Respondent's invocation of 46 CFR § 502.216 is misplaced and does not support the introduction of evidence not already in the record of this eight (8) year old case. For this reason, in addition to the reasons above and below, Respondent's Opposed Motion should be denied.

III. No good cause exists or was demonstrated to support Respondent's Motion.

Respondent alleges that good cause exists to include new evidence into the record of this case. In support of that position, Respondent cites *Hangzhou Qianwang Dress Co., LTD., v. RDD Freight International, Inc.*, Docket No. 17-02, Initial Decision (August 29, 2018), where the ALJ found good cause for supplementing the record prior to the initial decision being issued. Respondent's reliance on the *Hangzhou* case is misplaced for the following reasons:

1. No initial decision had yet been issued in that case. In the matter at hand, Respondent seeks to supplement the record pursuant to 46 CFR § 502.216, which permits a party to file a motion to supplement evidence into the record prior to an initial decision being issued in the case. In *Hangzhou*, the parties' motions to supplement the record were filed prior to the issuance of the initial decision in that case. In the matter at hand, however, Respondent filed its motion to supplement the record nearly seven (7) years after the issuance of the initial decision, and nearly four (4) years after the initial decision on remand was issued.

2. Unlike in *Hangzhou*, Respondent's Motion is opposed. In *Hangzhou*, the relevant, pre-initial decision motions to supplement the record were unopposed. In that case, both parties sought to supplement the record with additional evidence prior to the issuance of the initial decision. In contrast to that circumstance, in the case at hand, prior to the issuance of the ALJ's August 30, 2022 Remand Reconsideration Scheduling Order, both parties agreed that the parties would be bound by the evidence then-existing in the record. (Joint Status Report, Aug. 23, 2022). In fact, in their Joint Status Report, it was specifically stated that "Respondent believes the parties should file Proposed Findings of Fact and Conclusions of Law ***based on the existing record*** with regard to the two remaining issues." (*Id.* (emphasis added)). Thereafter, the ALJ issued a scheduling order quoting the preceding statement by Respondent. (RRSO at 1). The ALJ also

quoted the Commission’s Reconsideration Order, where it identified that the parties should have “opportunity to brief reparations questions before the ALJ and argue their respective positions ***based on the record.***” (*Id.* at 2 (citing Commission Reconsideration Order at 16-17) (emphasis added)). Based on the orders of the Commission and ALJ, and on the representations and judicial admissions of Respondent, Complainant complied with the ALJ’s Remand Reconsideration Scheduling Order and limited its briefing and proposed findings of fact to the existing record. Complainant opposes Respondent’s motion to supplement the record, among other reasons outlined herein, because holding Complainant to a higher pleading standard than Respondent would unduly prejudice Complainant in this proceeding.

3. Respondent is not seeking to supplement newly discovered evidence. In *Hangzhou*, the movant(s) were seeking to supplement the record with new evidence discovered after the end of the discovery period in that matter.¹ Here, by Respondent’s own admission, the evidence it seeks to now introduce into the record has been in its possession since at least September 8, 2014. (Respondent’s Opposed Motion, pg. 2, para. 3). Respondent correctly identifies that Complainant timely included into the record of the case evidence showing that Complainant, as with limousines, paid the decal fees propounded by the tariff. (*Id.* at pg. 5, para. 10). Respondent chose not to include into the record evidence prior to the December 4, 2015 Initial Decision. But now, after more than eight (8) years of having that evidence in its possession, and contrary to the express orders of the Commission and ALJ, Respondent is alleging “good cause” and attempting to supplement the record. Unlike in *Hangzhou*, the evidence Respondent seeks to add to the record is not newly discovered. Respondent sat on its rights for an extraordinary length of time, and no good cause exists.

¹ See *Hangzhou Qianwang Dress Co., LTD., v. RDD Freight International, Inc.*, Docket No. 17-02, RDD’s Cross-Motion to Supplement Record (July 28, 2018), at para. 3.

4. The documents are irrelevant and immaterial. The whole of the evidence that Respondent is attempting to back-door into the record pertain to “decals fees” paid to Respondent by persons or companies pursuant to the terms of the controlling tariff. Both parties agree that Decal fees are irrelevant to the reparations due.

In its July 30, 2021 Response to Complainants’ Amended Brief on Limited Reparations Issue on Remand, Respondent agreed that because Complainant and the limousines that accessed the Cruise Terminal all paid for decal fees in accordance with the existing tariff, decal fees are not relevant to Respondent’s violations of the Shipping Act, and do not affect the issue of reparations in this case. (Resp. Br. in Resp. to Comp. Am. Br. on Reparations on Remand at 7-8). Based on Respondent’s prior representations and judicial admissions to the ALJ regarding the non-effect of decal fees on the determination of reparations in this case, documents showing decal fees paid to Respondent during the reparations period are irrelevant.

CONCLUSION

In the parties’ August 23, 2022 Joint Status Report, Respondent represented to the ALJ that “Respondent believes the parties should file Proposed Findings of Fact and Conclusions of Law based on the existing record with regard to the two remaining issues.” (Joint Status Rpt., Aug. 23, 2022, at 2). Thereafter, the ALJ, quoting the above statement by Respondent, issued its Remand Reconsideration Scheduling Order. In that Order, the ALJ expressly limited evidence to that which “was previously submitted” and “already in the record.” (RRSO at 2). The ALJ also quoted the Commission’s June 2, 2022 Remand Reconsideration Order, which provided that the parties may brief the remaining, limited reparations issues “based on the record.” (*Id.* (quoting CRRO at 16)).

For the reasons outlined in this Response, no good cause exists for the extraordinary relief Respondent is seeking. Complainant 81st Dolphin opposes and objects to Respondent’s Opposed

Motion for Leave to Include Supplemental Records Regarding Decal Fees, and requests the ALJ enforce the limitations established in its August 30, 2022 Remand Reconsideration Scheduling Order, to which Complainant has already submitted its brief and proposed findings of fact in conformity with. Complainant prays the ALJ strike and exclude all evidence submitted by Respondent in its October 31, 2022 filings which was not already a part of the record of this proceeding.

Respectfully submitted,

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A handwritten signature in black ink, appearing to read 'Douglas T. Gilman', is written over a horizontal line.

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CERTIFICATE OF SERVICE

I hereby certify that I electronically filed this document on this **1st day of November, 2022**, and that a true and correct copy of the foregoing was served on all counsel of record *via* certified mail – return receipt requested and/or email, as indicated below:

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